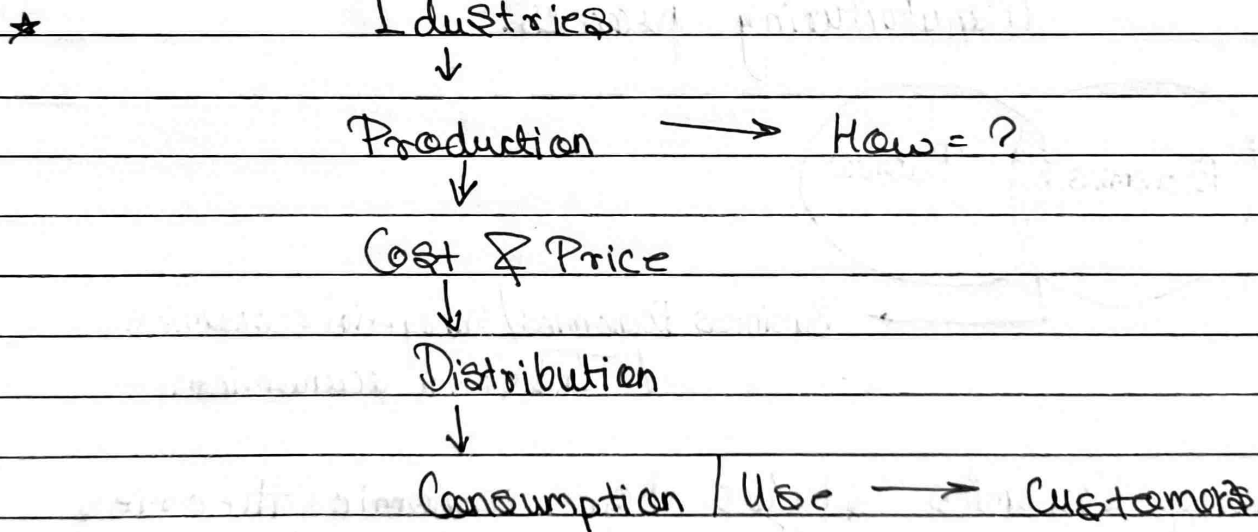
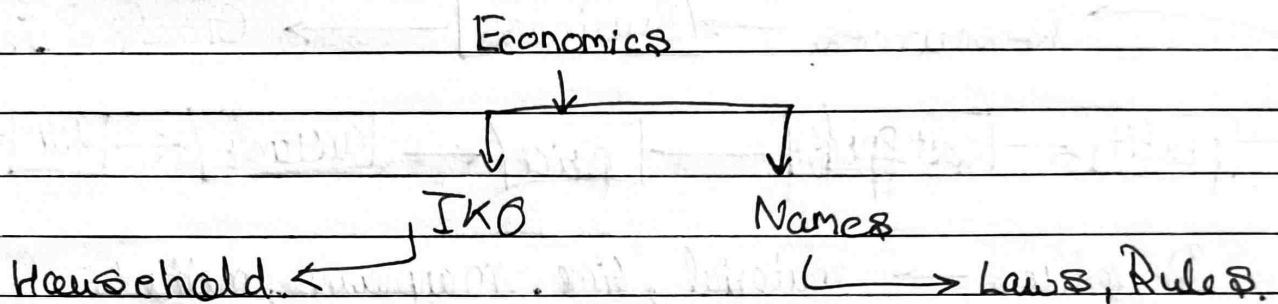


Economics:

1) Economics is study of how people allocate their limited resources.

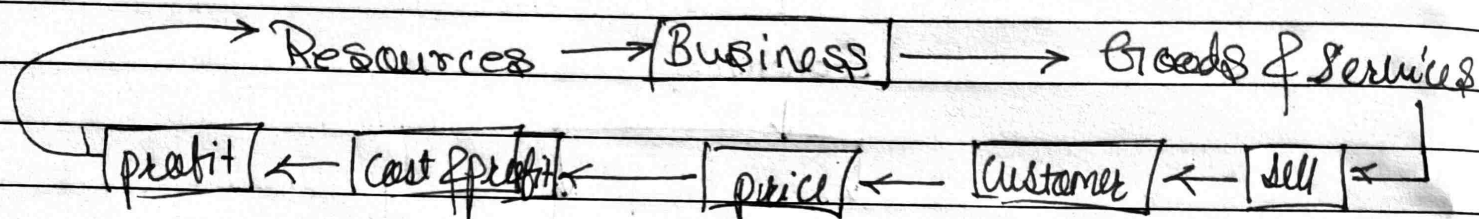
2) Economics is Science of wealth by Adam Smith.



* Economics is the study of those natural laws which govern or can be controlled production distribution of consumption of goods & services.

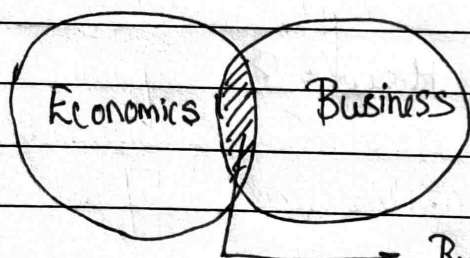
* Business

A Business is a transformation or conversion process which convert one type of input into more useful goods and services.



Resources → material, time, manpower, methods.

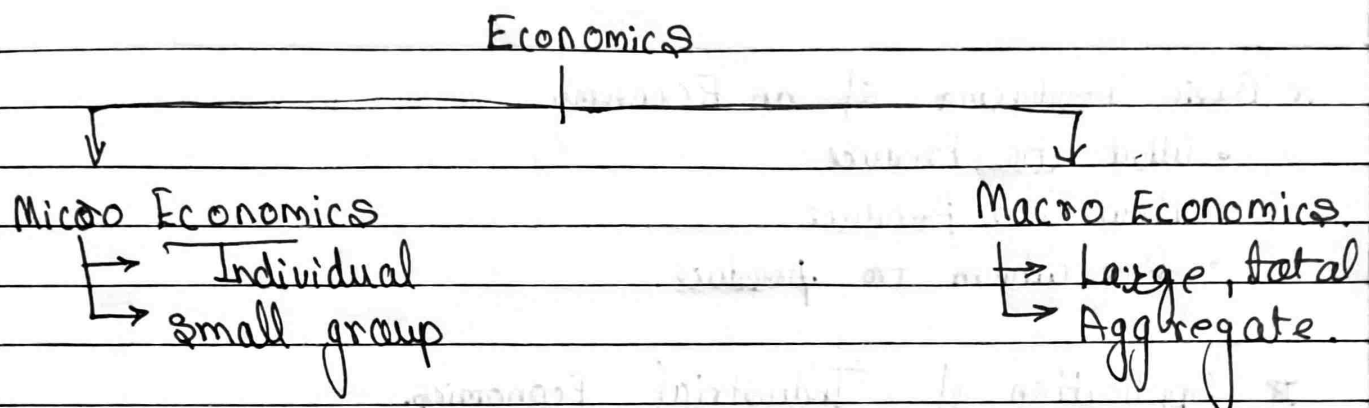
Manufacturing process.



Business Economics / Managerial economics
/ Industrial economics.

* Industry Economics studies how economic theories concepts and tools of analysis can be applied to business decisions making for firms, industry and market.

It is the application of economic theory and methodology to business administration practices.



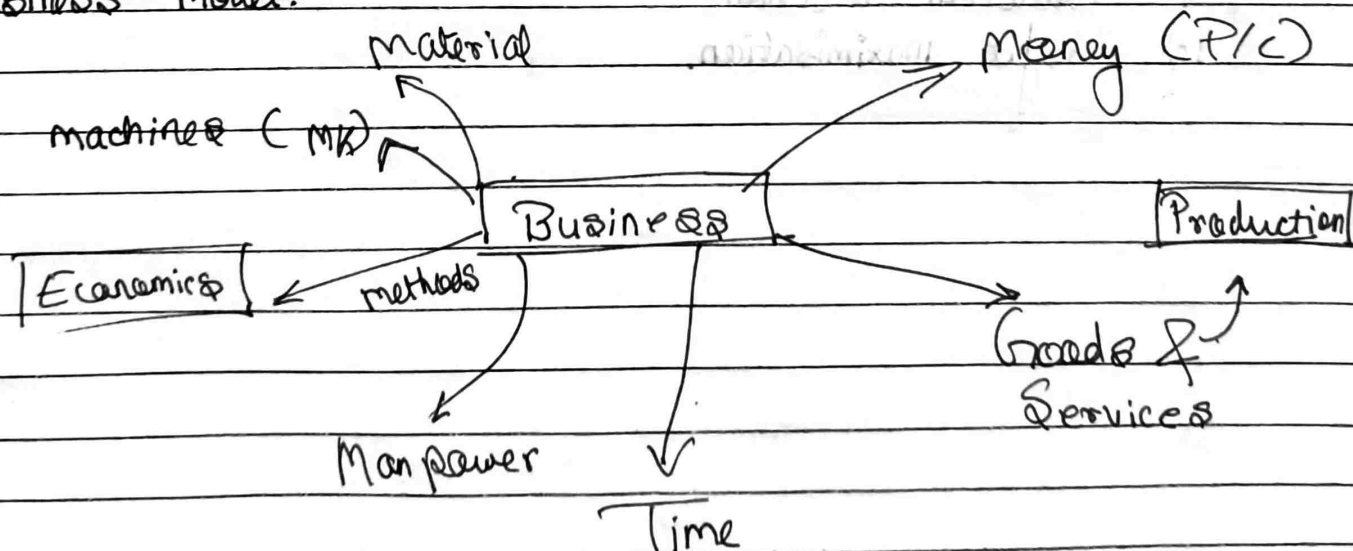
* Micro economics deals with the smaller portion of economy. Study about the single/group of customer.

* Macro economics studies for the large group or industry, total Import & Export, total employment.

* Managerial Economics → Abhishek Dwivedi

* Industrial management → IK Chopade & AM

* Business Model.



A Business process convert resources into more useful goods & services, this process of conversion or transformation of resources to finished, more useful services is called production.

* Basic Problems of an Economy

- What to Produce
- How to Produce
- For whom to produce.

* Application of Industrial Economics.

- 1) Cost Analysis.
- 2) Feasibility Study. (Projects).
- 3) Project Planning in Industry.
- 4) Resource Optimisation or management.
- 5) Decision making.
- 6) Market Behaviour.
- 7) Demand Analysis.
- 8) Pricing.
- 9) Production Decision.
- 10) Profit maximisation.

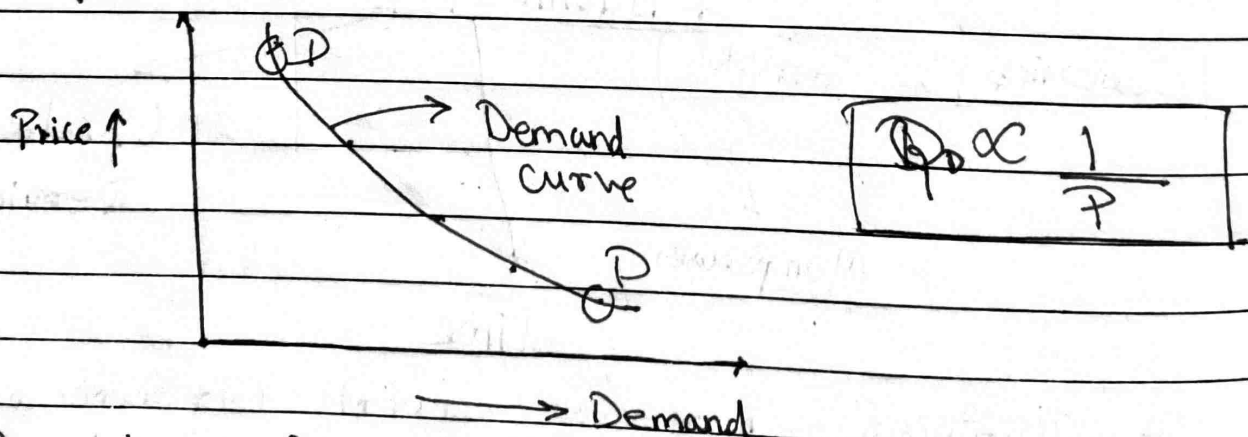
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* Law of Demand.



Demand is inversely proportional to price. When other things remain constant as the prices of goods & services increases the quantity demand decreases.

* Assumption for Law of demand.

- 1) Income of consumer remain constant.
- 2) Taste & preferences of consumer remain constant.
- 3) The customers have no expectations about the future prices of goods & services.

* Demand Schedule.

Demand schedule is the tabular presentation of a series of quantities which consumer would like to buy per unit of time at different prices.

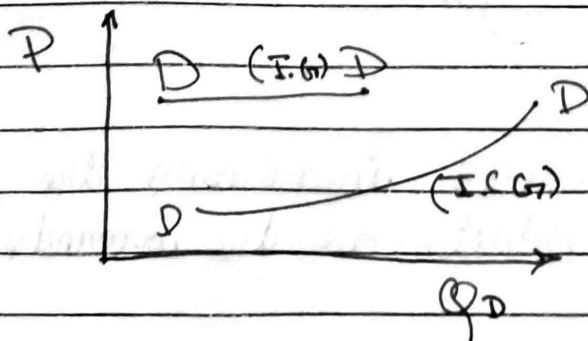
* Demand Function

Demand function is referred to as a mathematical expression of the relationship between

* Limitations of Law of Demand.

1) Giffen Goods

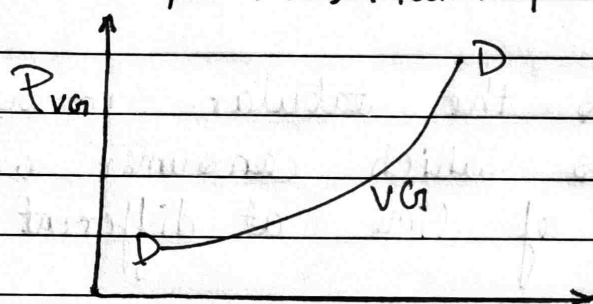
Inferior / Standard goods; like kerosin against LPG. Even if price slightly increase the demand will may be constant or may be increasing.



2) Status Goods / Veblen Goods.

These are superior or the luxury products that become more significant and valuable as their prices increase. The demand can be increased due to increase in price.

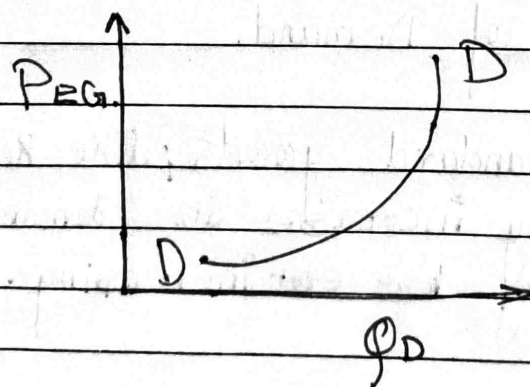
ex:- Gold, Silver, Platinum, Rolls Royce, Paganini, etc.



3) Essential Goods / Necessity Goods.

These types of goods are essential products so demand may increase by increasing price.

ex:- food, shelter, clothes, pharmaceuticals, emergency services, etc.



*. Change in Income.

If the income increases the people tend to buy products so the demand of goods increases.